

Gold Open Access and Article Processing Charges: Point of Risk and the Risk Pool

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In my recent work I have begun to think of the subscription publication environment in terms of a risk pool. I wanted to use this space to share a little of this rationale because I think it gives us a valuable way of conceiving of projects like arXiv, Knowledge Unlatched, my Open Library of Humanities, and the K/N white paper. The basic version is: a subscription model is a financial risk pool that conceives of publishing as entailing the purchase of a commodity object (thereby blocking OA). APCs, by contrast, concentrate financial risk (bad) but conceive of publishing as a service to an author client (thereby facilitating OA). Consortial/cooperative funding models spread financial risk across a pool but still conceive of publishing as a service, achieving the best of both worlds. A more thorough rationale below excerpted from the current draft of an article that I'm writing.

Gold open access, in which publishing is remunerated from an alternative business model to the current subscription/sales mode, suggests a reconfiguration of the current economics, with a suggested potential for savings. In this mode, the functions of publishing (which Michael Bhaskar defines as filtering, framing and amplification (Bhaskar 2013)) are not undertaken in the service of creating and selling a commodity object (a journal or book) but are instead to be viewed as a service to authors. In other words, the value-adding elements of publishing should not be paid for by readers but by clients of publishers: academics, their funders and institutions.

There is no single way in which these economics can be reconfigured. Some open-access journals operate on the basis of voluntary labour of editorial staff, meaning that the costs are essentially cross-subsidised by institutional or personal time. Others, such as the [Open Library of Humanities](#) platform that I am building, solicits funding from an international library consortium so that there is no need to sell material. The most well-known (although not the most common) way of remunerating the labour of publishing as a service is through a mode called Article Processing Charges (APCs). This mode is one wherein the authors, their institution or their funders must pay a fee to the publisher so that the necessary work can be covered. When properly implemented, this is not a payment to bypass peer review and it is in no way incompatible with rigorous quality control. It does, though, cause disquiet for several reasons. I will briefly discuss one of these here.

The first is that this mode significantly alters the point at which the cost of publication is borne. In the subscription model, the fact that many libraries all pay a subscription transforms the scenario into a risk pool. By this I mean that a large number of libraries all pay a (relatively) small amount so that, centrally, there is enough money to undertake the labour and/or build a surplus/profit. This mode, while spreading risk, which is sensible, creates the access gap, which is not. By contrast, a model involving APCs does the inverse. Instead of spreading risk, it concentrates risk at a single point of payment, but eradicates the access gap to readers. In many disciplines, such as the humanities and social sciences, where little external funding is available for this mode, this presents a problem. This means that research-intensive institutions may end up paying hundreds of times more than they currently do (bearing the total cost/risk for their own researchers) while others pay far less (some bearing no risk at all). This is not necessarily iniquitous, but it may make it harder for younger institutions to break into a research-intensive mode if the systems of distribution are fixed on the assumption that they don't need publication funds. Furthermore, because this mode is perceived to potentially interfere with the ability of academics to publish in the venues that will do the most for their assessment, there has been staunch resistance.

To put this all somewhat differently, though, what is actually happening here is that we have devised a way of kidding ourselves, to some degree. When justifying expenditure from the library budget in a supposedly competitive market, we need to conceive of what we are doing under classical economic incentive theorisations: “we are buying this publication as a commodity object so that our researchers can read it”. We really know, though, that what we are actually doing is

collectively paying for the labour of publishing as a service, which we can achieve far more easily if we spread the risk. The fact that we have inter-library loan services and librarians who are committed to spreading knowledge without payment indicates the disjunct between the idea of paying individually and feeling a grudge at giving the fruit of that purchase to others who have not paid. In other words: “free riders”, deemed problematic in classical economic theory, are not so amid the strange market contours of the academic library and scholarly communication communities.

Consortial funding models ask institutions to pay what looks, essentially, like a subscription.

However, because they conceive of publishing as a service, the idea here is that the material is made open access. This spreads risk over many institutions so that the literature can be freely available to all. They are susceptible to free riders, yet, as I stated above, our insular climate of paying for publication already tolerates these through inter-library loans. Although I have a stake in saying so, I continue to believe that this would be the best way to spread the cost of publication and ensure a fair, but open access, environment for all.